

## YOU CAN ALWAYS TELL WHEN A STOCK'S HIT BOTTOM

Bottom fishing is a popular investor pastime, but it's usually the fisherman who gets hooked. Trying to catch the bottom on a falling stock is like trying to catch a falling knife. It's normally a good idea to wait until the knife hits the ground and sticks, then vibrates for a while and settles down before you try to grab it. Grabbing a rapidly falling stock results in painful surprises, because inevitably you grab it in the wrong place.

If you get interested in buying a turnaround, it ought to be for a more sensible reason than the stock's gone down so far it looks like up to you. Maybe you realize that business is picking up, and you check the balance sheet and you see that the company has \$11 per share in cash and the stock is selling for \$14.

But even so, you aren't going to be able to pick the bottom on the price. What usually happens is that a stock sort of vibrates itself out before it starts up again. Generally this process takes two or three years, but sometimes even longer.

## IF IT'S GONE THIS HIGH ALREADY, HOW CAN IT POSSIBLY GO HIGHER?

Right you are, unless of course you are talking about a Philip Morris or a Subaru. That Philip Morris is one of the greatest stocks of all time is obvious from the chart on [. I've already](#) mentioned how Subaru could have made us all millionaires, if we'd bought the stock instead of the car.

If you bought Philip Morris in the 1950s for the equivalent of 75 cents a share, then you might have been tempted to sell it for \$2.50 a share in 1961, on the theory that this stock couldn't go much higher. Eleven years later, with the stock selling at seven times the 1961 price and 23 times the 1950s price, you might once again have concluded that Philip Morris couldn't go higher. But if you sold it then, you would have missed the next sevenbagger on top of the last 23-bagger.

Whoever managed to ride Philip Morris all the way would have seen their 75-cent shares blossom into \$124.50 shares, and a \$1,000 investment end up as a \$166,000 result. And that doesn't even include the \$23,000 in dividends you picked up along the way.

If I'd bothered to ask myself, "How can this stock possibly go higher," I would never have bought Subaru after it already had gone up twentyfold. But I checked the fundamentals, realized that Subaru was still cheap, bought the stock, and made sevenfold after that.

The point is, there's no arbitrary limit to how high a stock can go, and if the